Meridian & Associates LLP

Tax Services Practice

International Tax Planning Advisory

Subpart F, GILTI, FTC Optimization, Treaty Planning, and Post-TCJA International Structuring

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1. Executive Summary

Meridian & Associates LLP's International Tax practice advises multinational enterprises on the tax-efficient structuring of global operations in an environment transformed by the Tax Cuts and Jobs Act (TCJA) of 2017, the OECD's BEPS 2.0 framework (Pillar One and Pillar Two), and the proliferation of anti-avoidance regimes worldwide. Our international tax team comprises 120 professionals across 14 offices, including 18 partners with an average of 22 years of cross-border tax experience.

This document describes our core international tax advisory services, methodologies, and planning frameworks. All planning recommendations adhere to the firm's Tax Risk Policy, which requires a 'more likely than not' (MLTN) or higher confidence level for positions taken on filed returns and a 'should' level of confidence for affirmative planning recommendations. Aggressive or abusive tax positions are prohibited regardless of client request.

2. Subpart F and GILTI Planning

2.1 Subpart F Income Analysis

Subpart F (Sections 951-964 of the Internal Revenue Code) requires U.S. shareholders of controlled foreign corporations (CFCs) to include certain categories of income currently in their U.S. taxable income, regardless of whether the income is distributed. Meridian's Subpart F planning encompasses:

- Foreign Base Company Income (FBCI) Classification: Analyzing CFC income streams to determine which items constitute foreign base company sales income (Section 954(d)), foreign base company services income (Section 954(e)), or foreign personal holding company income (FPHCI) under Section 954(c). Particular attention is given to the 'same country of incorporation' exceptions that can exclude sales and services income from FBCI.
- High-Tax Exception: Evaluating whether CFC income qualifies for the high-tax exception under Section 954(b)(4), which excludes items of income subject to an effective foreign tax rate greater than 90% of the maximum U.S. corporate rate (currently 18.9%). This analysis is performed on an item-by-item basis as required by the regulations.
- Active Trade or Business Exception: Structuring CFC operations to maximize qualification for the Section 954(h) active financing exception (for financial services income) and the Section 954(i) active insurance exception.
- Same Country Exceptions: Structuring supply chains so that CFC purchases from and sales to related parties involve property manufactured, produced, grown, or extracted in the CFC's country of incorporation, thereby qualifying for the same-country exception to FBCI sales income.

2.2 GILTI Planning

The Global Intangible Low-Taxed Income (GILTI) regime (Section 951A) imposes current U.S. taxation on CFC earnings exceeding a deemed return on tangible assets (QBAI). Meridian's GILTI planning focuses on:

- QBAI Maximization: Advising clients on locating tangible depreciable assets in high-return CFCs to increase the QBAI offset, which excludes 10% of QBAI from the GILTI inclusion. This includes evaluating lease-vs.-buy decisions, contract manufacturing arrangements, and capital investment timing.
- Tested Income and Tested Loss Netting: Structuring the CFC group to maximize the netting of tested income against tested losses from CFCs with net losses, reducing the aggregate GILTI inclusion. This may involve entity rationalization, check-the-box elections, or merger of high-income and loss-making CFCs.
- Section 250 Deduction: Calculating the Section 250 GILTI deduction. For tax years beginning after December 31, 2025, the GILTI deduction rate has decreased from 50% to 37.5% under IRC Section 250(a)(3). The taxable income limitation can further reduce or eliminate the deduction.
- GILTI High-Tax Exclusion (HTE): Evaluating whether specific CFCs or tested units qualify for the GILTI HTE under Treasury Regulation 1.951A-2(c)(7), which excludes CFC income items subject to a foreign effective tax rate exceeding 18.9% (90% of the U.S. corporate rate).
- Interaction with Pillar Two: Modeling the interaction between GILTI and the OECD Pillar Two GloBE rules to identify

jurisdictions where the GILTI inclusion may already satisfy the 15% minimum effective tax rate, and where additional top-up taxes may apply.

3. Section 245A Dividends Received Deduction

Section 245A provides a 100% dividends received deduction (DRD) for the foreign-source portion of dividends received by domestic corporations from specified 10%-owned foreign corporations (SFCs). Meridian advises clients on:

- Dividend Planning: Timing and structuring repatriation transactions to maximize the Section 245A DRD, including coordination with foreign withholding tax obligations and foreign tax credit considerations.
- Hybrid Transaction Rules: Navigating the anti-hybrid provisions of Section 245A(e), which deny the DRD for dividends funded by deductible payments (hybrid dividends). Identification of instruments and arrangements that may trigger hybrid dividend treatment.
- Extraordinary Disposition Exception: Evaluating the Section 245A(e)(3) extraordinary disposition rules that can reduce or deny the DRD for gains attributable to CFC property disposed of during a specified period.
- Coordination with PTEP: Coordinating Section 245A planning with previously taxed earnings and profits (PTEP) distributions under Section 959, which are excluded from gross income but do not generate the Section 245A DRD.

4. Foreign Tax Credit Optimization

4.1 Section 904 Basket Analysis

The foreign tax credit (FTC) limitation under Section 904 restricts the FTC to the U.S. tax attributable to foreign-source income in each separate limitation category (basket). Meridian's FTC optimization services include:

- Basket Classification: Classifying income and creditable taxes into the applicable Section 904(d) baskets: general category, passive category, GILTI basket, foreign branch basket, and Section 901(j) sanctioned country basket.
- Cross-Crediting Analysis: Identifying opportunities for cross-crediting within baskets -- i.e., using excess FTCs from high-tax jurisdictions against FTC capacity from low-tax jurisdictions within the same basket category.
- Expense Apportionment: Optimizing the apportionment and allocation of deductions (including interest expense under Section 861 and stewardship expenses) between U.S.-source and foreign-source income to maximize the Section 904 limitation.
- FTC Carryback and Carryforward: Tracking FTC carryover positions (one-year carryback and ten-year carryforward under Section 904(c)) and modeling the utilization timeline under various planning scenarios.

4.2 High-Tax Exclusion and Credits

Meridian evaluates the interaction between the various high-tax exclusion and exception provisions to determine the optimal treatment of high-taxed foreign income:

- Subpart F High-Tax Exception (Section 954(b)(4)): Excludes high-taxed items from Subpart F income, allowing them to be deferred until actual repatriation (but subject to GILTI inclusion).
- GILTI High-Tax Exclusion (Reg. 1.951A-2(c)(7)): Excludes high-taxed CFC income from GILTI, which can be beneficial when the foreign effective tax rate exceeds the U.S. effective rate on GILTI inclusions.
- Section 960 Deemed Paid Credits: Computing deemed-paid FTCs associated with Subpart F, GILTI, and PTEP distributions, including the 80% haircut on GILTI deemed-paid credits under Section 960(d).
- Treaty-Based FTC: Evaluating treaty provisions that may provide enhanced FTC benefits, including specific treaty articles addressing the creditability of foreign taxes.

5. Treaty Planning and Holding Company Structures

5.1 Treaty Network Optimization

Meridian advises clients on leveraging the U.S. income tax treaty network (currently 65+ treaties) and foreign treaty networks to reduce withholding taxes on cross-border payments and resolve double taxation. Our treaty planning services include:

- Withholding Tax Reduction: Structuring intercompany dividends, interest, and royalty payments to take advantage of reduced treaty withholding rates. Analysis includes evaluation of Limitation on Benefits (LOB) articles and principal purpose test (PPT) requirements.
- Treaty Shopping Prevention: Ensuring that treaty-based structures satisfy substance, LOB, and anti-conduit requirements to withstand challenge by tax authorities. Post-BEPS, we evaluate the impact of the Multilateral Instrument (MLI) on applicable treaties.
- Permanent Establishment (PE) Risk Assessment: Evaluating client activities in treaty jurisdictions to determine whether a PE exists under the applicable treaty's PE article, including the impact of Article 12 (Services PE) provisions in certain treaties.
- Competent Authority Assistance: Engaging in mutual agreement procedure (MAP) and competent authority proceedings to resolve double taxation arising from transfer pricing adjustments, PE attributions, and treaty interpretation disputes.

5.2 Holding Company Jurisdiction Selection

The selection of a holding company jurisdiction is a critical structural decision with implications for withholding taxes, capital gains taxation, CFC status, and Pillar Two compliance. Meridian evaluates jurisdictions across multiple criteria:

- Tax Attributes: Participation exemption for dividends and capital gains, breadth and quality of the treaty network, absence of CFC rules (or favorable CFC exemptions), withholding tax rates on outbound payments, and availability of advance ruling or tax ruling procedures.
- Substance Requirements: Post-BEPS requirements for economic substance, including minimum staffing, local decision-making, and adequate operational expenditure in the holding company jurisdiction.
- Popular Holding Jurisdictions: Netherlands (participation exemption, extensive treaty network, innovation box), Luxembourg (SOPARFI regime, IP box), Ireland (12.5% rate, extensive treaty network, transitioning to Pillar Two), Singapore (territorial system, broad treaty network, IP development incentives), and Switzerland (reduced cantonal rates, R&D super-deductions).
- Pillar Two Considerations: Evaluating the impact of the 15% GloBE minimum tax on the effectiveness of holding company jurisdictions with low effective tax rates, and modeling top-up tax exposure under IIR, UTPR, and QDMTT mechanisms.

6. IP Migration and Intangible Property Planning

Intangible property (IP) -- including patents, trade secrets, software, trademarks, and know-how -- is the most valuable and mobile asset class for many multinationals. Meridian advises on the tax-efficient location and transfer of IP, balancing tax benefits against regulatory, operational, and reputational considerations.

- Cost Sharing Arrangements (CSAs): Structuring qualified cost sharing arrangements under Section 482 and Treasury Regulation 1.482-7, including platform contribution transaction (PCT) analysis, calculation of buy-in payments, and ongoing cost sharing allocation methodologies.
- IP Licensing vs. Transfer: Evaluating the tax consequences of outbound IP transfers (Section 367(d) annual inclusions vs. Section 482 commensurate-with-income adjustments) compared to ongoing licensing arrangements, considering the impact on Subpart F, GILTI, and FDII calculations.
- FDII Incentive: Modeling the Foreign-Derived Intangible Income (FDII) deduction under Section 250. For tax years beginning after December 31, 2025, the FDII deduction rate has decreased from 37.5% to 21.875% under IRC Section 250(a)(3). Clients retaining IP in the United States and earning foreign-derived income should evaluate FDII as an alternative to offshore IP migration.
- Valuation: Engaging Meridian's Transfer Pricing and Valuation specialists to prepare arm's length valuations of transferred IP using income, market, and cost approaches consistent with Section 482 and OECD Transfer Pricing Guidelines Chapter VI.

7. Anti-Inversion Rules and Check-the-Box Planning

7.1 Section 7874 Anti-Inversion Rules

Section 7874 imposes adverse tax consequences on certain corporate transactions (inversions) in which a U.S. corporation becomes a subsidiary of a foreign corporation, or a foreign corporation acquires substantially all of the properties of a U.S. corporation or partnership. Meridian advises clients on:

- Ownership Continuity Analysis: Calculating the percentage of stock of the foreign acquiring corporation held by former shareholders/partners of the domestic entity. If this percentage is 80% or more, the foreign corporation is treated as a domestic corporation. If between 60% and 80%, the inversion gain provisions of Section 7874(a) apply.
- Substantial Business Activities Test: Evaluating whether the foreign acquiring corporation has substantial business activities in its country of organization (the 25% safe harbor under Treasury Regulation 1.7874-3), which can exempt the transaction from inversion treatment.
- Serial Inversions and Anti-Stuffing Rules: Advising on the anti-stuffing rules that prevent taxpayers from artificially inflating the value of the foreign acquiring corporation to reduce the ownership percentage below the 60% or 80% thresholds.
- Domestic Entity Acquisitions: Evaluating the Section 7874 implications of cross-border M&A transactions, including mergers, stock acquisitions, and asset acquisitions involving U.S. target companies.

7.2 Check-the-Box Entity Classification

Entity classification elections under Treasury Regulation 301.7701-3 (the 'check-the-box' rules) remain one of the most powerful tools in international tax planning. Meridian assists clients with:

- Entity Classification Planning: Evaluating whether foreign entities should be classified as corporations (per se or elective), partnerships, or disregarded entities for U.S. tax purposes. The classification affects CFC status, Subpart F inclusions, GILTI calculations, and FTC computations.
- Hybrid Entity Planning: Utilizing check-the-box elections to create hybrid entities (treated as transparent for U.S. tax purposes but as separate entities for foreign tax purposes) or reverse hybrids. Post-TCJA and post-ATAD, hybrid arrangements face increased scrutiny under Section 267A (anti-hybrid) and similar foreign anti-hybrid rules.
- Timing and Retroactivity: Advising on the timing of entity classification elections, including the ability to file retroactive elections (effective up to 75 days before the filing date under the regulatory relief provisions) and the consequences of late elections.
- Interaction with Pillar Two: Analyzing how entity classification elections affect the jurisdictional blending and effective tax rate calculations under the GloBE rules, including the treatment of tax transparent entities and reverse hybrid entities.

8. Pillar Two Interaction and Compliance

The OECD/G20 Inclusive Framework's Pillar Two (Global Anti-Base Erosion, or GloBE) rules are fundamentally reshaping international tax planning. With over 50 jurisdictions enacting or announcing GloBE implementation legislation, Meridian helps clients navigate the compliance obligations and planning implications.

- Impact Assessment: Modeling the GloBE effective tax rate for each jurisdiction where the client operates, identifying jurisdictions where top-up tax exposure exists (ETR below 15%) and quantifying the additional tax cost under IIR (Income Inclusion Rule), UTPR (Undertaxed Profits Rule), and QDMTT (Qualified Domestic Minimum Top-Up Tax) mechanisms.
- Safe Harbor Analysis: Evaluating qualification for the GloBE transitional safe harbors (CbCR safe harbor, de minimis test, and routine profits test) to reduce compliance burden during the initial years of implementation.
- Data Readiness: Assessing the client's ability to produce the detailed financial data required for GloBE calculations, including jurisdictional top-up tax computations, deferred tax adjustments, and substance-based income exclusion (SBIE) calculations.
- U.S. Interaction: Analyzing the interaction between the U.S. international tax regime (GILTI, Subpart F, BEAT, FDII) and Pillar Two, including whether GILTI satisfies the requirements of a qualified IIR and the potential for double taxation.
- Structural Optimization: Advising on structural changes (entity rationalization, IP relocation, substance augmentation) to minimize top-up tax exposure while maintaining compliance with the GloBE anti-abuse rules.

9. Post-TCJA Structuring Considerations

The TCJA fundamentally altered the U.S. international tax landscape. Meridian continuously monitors legislative and regulatory developments and advises clients on optimization within the post-TCJA framework, including:

- TCJA Sunset Provisions: Key provisions including the Section 250 FDII/GILTI deduction rates (which decreased effective for tax years beginning after December 31, 2025, from 37.5%/50% to 21.875%/37.5% respectively), Section 163(j) interest limitation (30% of EBITDA reverting to EBIT), Section 174 R&D capitalization requirement, and the bonus depreciation phase-down (40% for 2025, 20% for 2026). Modeling the impact of remaining sunset scenarios and advising on planning actions.
- Base Erosion and Anti-Abuse Tax (BEAT): Evaluating whether clients are applicable taxpayers under Section 59A (average annual gross receipts exceeding $500 million and base erosion percentage exceeding 3%) and modeling the BEAT liability under various payment restructuring scenarios.
- Section 163(j) International Implications: Analyzing the interaction between the Section 163(j) interest limitation and CFC-level interest deductions, including the allocation of interest expense for Section 904 FTC limitation purposes.
- Outbound and Inbound Restructuring: Advising on the tax consequences of expatriating operations (Section 367, Section 1248), repatriating operations, and restructuring existing holding company chains in light of TCJA, Pillar Two, and evolving bilateral treaty provisions.